



REDUCING RTO: GETTING MORE ORDERS DELIVERED

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RESEARCH AND INSIGHTS

PRIORITIZATION FRAMEWORK

SOLUTION

Primary Research

Survey

65

Respondents
43 buyers, 22 sellers

Interview

10

6 buyers, 4 delivery partners

FGD

1

1*4 people

Meesho at a glance

274M +

Annual transacting users

1.04M

Annual transacting sellers

~85 %

Orders delivered to tier 2 and 3 cities

2.67B+

Orders placed annually

Nodes in supply chain

With RTO reasons

1. Supplier / Seller

Incorrect listings

Improper packaging

First-mile pickup

2. FM Hub

Delays during transit

Improper handling of packages

Incorrect sorting

3. Source Sort Centre

Line haul (to destination)

4. Destination Sort Centre

5. Last-mile DC

Last-mile delivery

6. Customer

Fake attempts to deliver

Communication issues

Incomplete address

Customer refusals

Insights derived from Primary research

COD leads to low commitment

10% of the customers who refused orders at the doorstep reported having forgotten about the order

Customer availability is a major source of failed deliveries

48% were unavailable to collect their order, suggesting many RTOs are timing-related, rather than outright refusal

Address quality issues

37% of delivery partners reported issues in locating incomplete/unclear addresses

Customer didn't pick up calls

37%

Difficulty in locating address

35%

Customer refused to collect order

15%

Customer wasn't available

13%

Delivery partner survey

Wasnt available to collect order

48%

Changed my mind/forgot

32%

Wasn't contacted

20%

Customer survey

Secondary Research

Source: <https://brandchanakya.in/>, <https://www.gokwik.co/>, Shiprocket

35%

Customer unavailability

22%

Address and contact issue

28%

COD refusals (koi intent purchases)

22%

Logistic and delivery failures

9%

Fake/ fraudulent orders

TrustMesh

AI- powered risk detection

Predicts the likelihood of an order being returned before dispatch using multiple signals (pincode, product etc)

~9 M

high risk transactions blocked in FY26

>10%

reduction in RTO since deployment

"TrustMesh helps us identify high-risk orders early, reducing avoidable returns and improving customer experience" - Meesho Annual report

GeoIndia

Address Intelligence

Uses AI to convert landmark-based and vernacular addresses into precise geolocations, improving address accuracy

+20 pp

Improvement in geocoding accuracy

5%

reduction in misroute related costs

"GeoIndia enables accurate address mapping even for non-standard addresses, helping reduce delivery failures" - Meesho Annual report

Valmo

In-house logistics network

Meesho's fully owned logistic subsidiary, enabling greater control over delivery experiences

48.08%

of Meesho shipped orders through valmo

73,671

Valmo delivery agents

Industry benchmarks on RTO

Overall e-commerce RTO rates in India

~23%

Amazon Shipping

~22%

Flipkart

~20%

Industry average

RTO rates in India typically range from 20-25% of total orders, significantly higher than global benchmarks (~5-10%).

COD orders have significantly higher RTO rates

COD orders

28-35%

Prepaid orders

4-8%

COD RTO rates are ~3-7x higher than prepaid orders due to lower purchase commitment.

Key drivers highlighted in industry reports

High share of COD orders

Addressability challenges in Tier 2-3 cities

Customer unavailability and failed delivery attempts

Takeaway

Meesho is already leveraging AI and logistics infrastructure to tackle RTOs at the pre-dispatch and address stages. This suggests that the next opportunity lies in solving last mile execution and customer management

Word cloud based on primary and secondary research

Word cloud based on primary and secondary research

Pain Points

Customer unavailability is a major contributor to failed deliveries, leading to avoidable RTOs and additional logistics costs.

Low purchase commitment and forgotten orders contribute to doorstep refusals, resulting in inventory and margin losses for sellers.

Address quality issues make it difficult for delivery partners to locate customers, increasing delivery time and failed attempts.

RTO

Customer

Product

COD

Logistics

Seller

Delivery Partner

Address issues

unavailable

changed mind

refused delivery

incorrect address

incomplete address

landmark missing

pincode issue

rural area

failed attempt

time constraints

high workload

difficult location

rescheduling

lack of contact

inventory lock-up

additional cost

delayed refund

lower ratings

reverse logistics

higher cost

time delay

payment issue

fake orders

not as expected

size/fit issue

damaged product

different from image

low commitment

refused COD

return request

not reachable

no response

wrong address

Key theme

Related term

Customer

Needs a delivery experience where they don't have to wait around for the order.

Needs a hassle-free service with easy COD payments and simple returns.

Seller

Needs reliable delivery with fewer RTOs to protect margins.

Needs better customer availability and successful delivery attempts to reduce return trips.

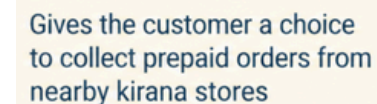
Delivery Partner

Needs to locate addresses easily with clear and accurate address details.

SOLUTION

30 Day Quick win solution

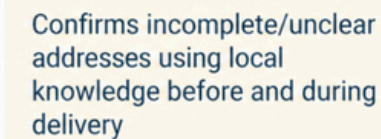
1 Last Mile pickup node



What it solves?

- Improves delivery time alignment
- Reduces low-intent purchases
- Addresses difficult-to-serve locations

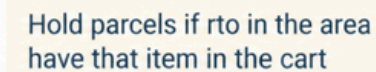
2 Address verification partner



What it solves?

- Improves address accuracy
- Reduces failed delivery attempts

3 Resale/ clearance host (Meesho Rescue)



What it solves?

- Reduces last mile delivery costs
- Recovers value from returned goods by routing to nearby buyers

MARKET RESEARCH (Primary and Secondary)

Indian kiranas
(TAM)

Kirana owners
willing to join this

Kirana owners
know address
effectively

**Kirana Club Retailers
(SAM)**

Average distance
to nearest kirana

customers willing
to collect from
kirana store

Serviceable
(Addressable
SAM)

Pilot SOM

Kirana Storage Capacity Assessment

Measurements from one kirana shop in Trichy, indetailed calculation in appendix

- Length = 6ft, Width = 13ft, Height = 11ft

- Latent loft/ overhead space = 140 cu ft
- Latent ground space = 70 cu ft
- Total latent volume = 210 cu ft
- Estimated parcel capacity = ~147 parcels

Explained in appendix

$$\text{RTO Priority Index} = (\text{cost impact} * \text{Preventability score} / \text{Effort score}) / 1000$$

Reason	Contribution	Preventability score	Effort score	Cost Impact/1000 orders	RTO Priority Index
Customer unavailable	32%	4	2	₹7616	15
Customer refused order	28%	2	4	₹8092	4
Address location issues	23%	5	1	₹6647	33
Fake delivery attempts	13%	3	3	₹3757	3
Fradulant orders/ logistic issues	5%	2	4	₹1445	0.72

Effort score- based on what category of fix this class of problem typically requires

Effort Score	Description
1	Software/data flag only, existing tools
2	New communication workflow
3	New monitoring/detection system needed
4	New physical/partner infrastructure needed
5	Structural, platform-wide behavior change

RTO % normalised based on primary and secondary researches

Preventability score based purely on what kind of problem this is

Preventability	Description
1	Largely outside Meesho's control
2	Deep psychological/intent-driven (hard to shift –
3	Adversarial/gaming behavior (fixable, but bad actors
4	Process/coordination gap (mild behavioral
5	Pure data/information gap (no behavioral resistance)

RESEARCH AND INSIGHTS

PRIORITIZATION FRAMEWORK

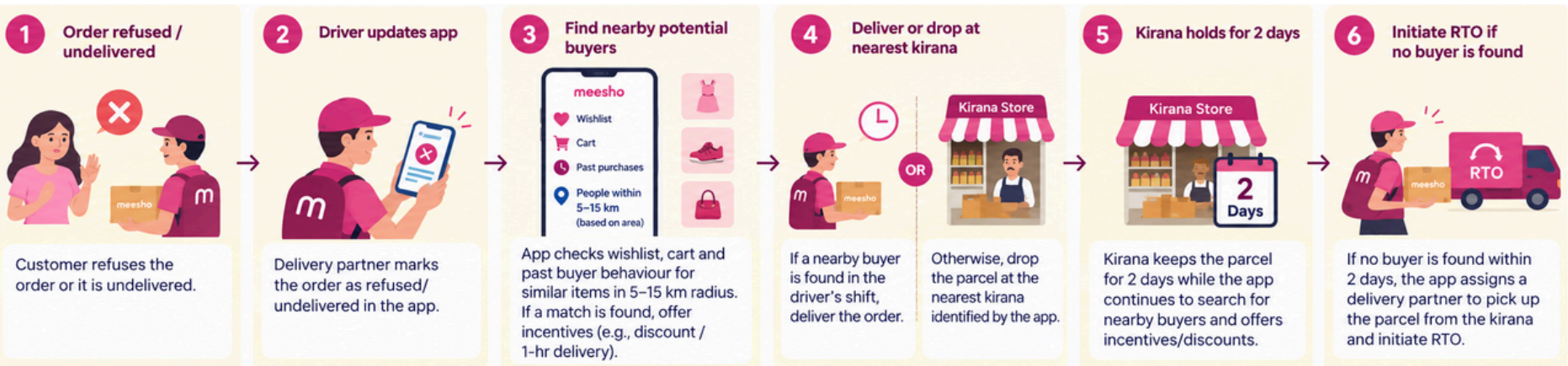
SOLUTION

SOLUTION FLOWS

The quick-win solutions directly target the three highest-scoring causes on the RTO Priority Index – Address Location Issues (RPI 33), Customer Unavailable (RPI 15), and Customer Refused Order (RPI 4) – together accounting for 83% of total RTOs.

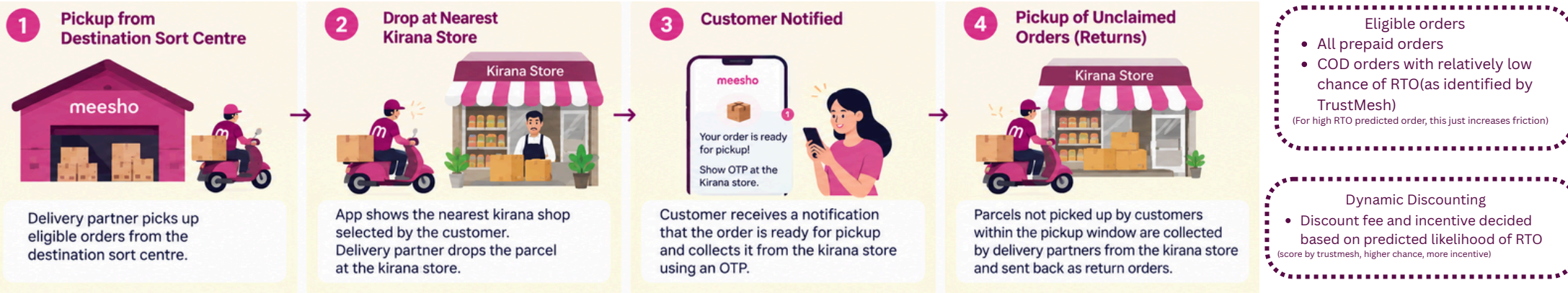
Pilot - 7 to 8 pincodes that have historically had high RTOs

MEESHO RESCUE



KIRANA PICKUP

Give customers an option to pickup orders from kiranas when they place an order



KIRANA ADDRESS ASSIST



Payout Function

Component	Address Verification	Kirana Pickup + Meesho rescue
Base Fee	₹5 / verification	₹12 / parcel
Modifier	+₹2 bonus if confirmed accurate	+₹2/day if held beyond 2 free days
Milestone bonus	Small monthly top-up for >90% accuracy	

Financial Impact on Kiranas

Geography	Verification /day	Parcels /day	Earnings/day	Earnings (6 Months)	Onboarding Cost
Dense urban	4	15	₹200	₹36,000	₹3,000
Suburban	8	35	₹460	₹82,800	₹3,000

RISKS AND MITIGATIONS

Kirana dropouts	Tiered incentives+branding, social cause positioning	Parcel theft/ mishandling	Mandatory OTP logs, additional benefits for clean operations
Inaccurate confirmations	Tie small bonus to accuracy-over-time	Meesho rescue abuse	Disable nearby-buyer rescue, block feature for repeated users

OTHER SOLUTIONS

Instant automated verification call after driver marks unreachable

Early intent check message and reminders

Meesho loyalty memberships and exclusive deals

Proper and organised NDR management

TAM SAM SOM CALCULATION

Step	Number	Definition/Assumption
TAM	13M	Total kiranas in India that could potentially participate in Meesho’s model
SAM	4.1M	Registered kirana club retailers, acquired by Meesho, no need to build from scratch
SOM (Addressable SAM)	2.0M	Kiranas in target clusters with smartphone access/ internet penetration (50% of SAM)
Pilot SOM	50K	Kiranas is selected pilot cities to validate the model

Latent space calculation -3 zone latent space method

Parameter/Zone	Assumption/calculation	Estimated capacity
Floor area	6 ft × 13 ft	78 sq ft
Total shop volume	78 sq ft × 11 ft ceiling height	858 cu ft
Zone 1: Ground-floor dead space	30% of floor area × 3 ft stackable height	≈70 cu ft
Zone 2: Vertical loft / overhead space	60% of floor area × 3 ft overhead height	≈140 cu ft
Zone 3: Active working space	Shelving, counter and walking area	Excluded
Total latent storage volume	Ground dead space + overhead space	≈210 cu ft
Share of gross volume	210 ÷ 858	≈24%
Packing efficiency	Accounts for packaging air and	70%
Assumed parcel volume	Average parcel volume	≈1 cu ft
Estimated parcel capacity	210 × 70% ÷ 1 cu ft	≈145–150 parcels

OTHER SOLUTIONS

Meesho Loyalty Membership

Reward customers with reliable order histories through faster delivery, small discounts, and flexible cancellation options. RTOs reduce their loyalty score and benefits.

Solves: Low purchase commitment, repeated refusals, and habitual RTO behaviour.

Automated Verification Call

Trigger an automated call within minutes when a delivery partner marks an order as unanswered or unreachable, allowing the customer to confirm or reschedule delivery.

Solves: Customer unavailability, unreachable customers, and potentially false delivery attempts.

Early Intent Checks & Reminders

Send an order-confirmation message within two hours before dispatch—especially for high-RTO-risk orders, followed by timely updates and reminders throughout the delivery journey.

Solves: Forgotten orders, low purchase intent, and customer unavailability.

Proactive NDR Management

Contact customers promptly after a failed delivery, enabling WhatsApp-based rescheduling, address correction, and multiple reattempts.

Solves: Failed delivery attempts caused by unavailability, incorrect addresses, and communication gaps.

Brands that contact customers within 2 hours of failed delivery see 40% higher successful reattempt rates compared to next-day contact.
Source : <https://brandchanakya.in/>

